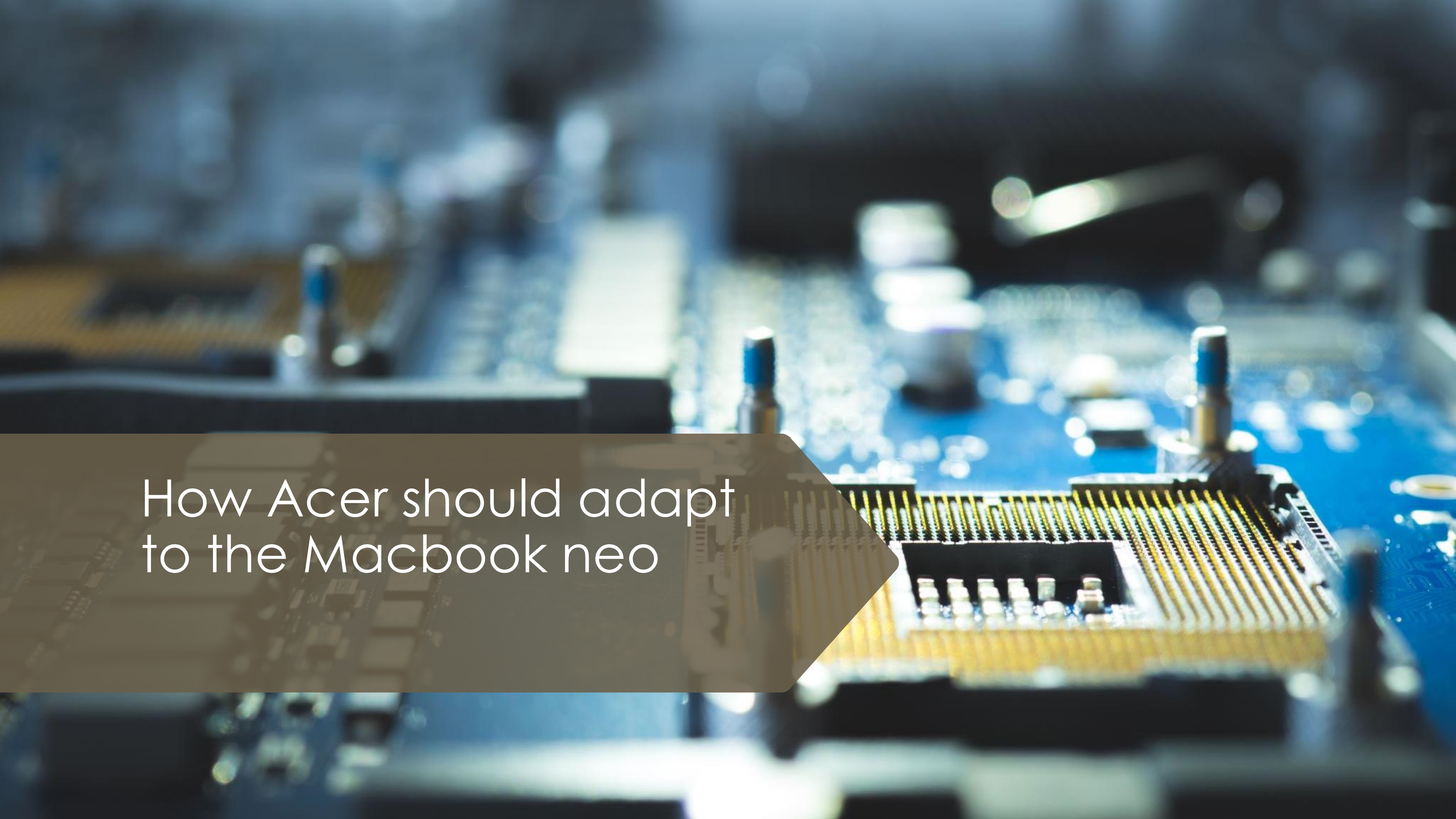
How Acer should adapt to the Macbook neo



Acer should focus on the education sphere

- **Acer cannot compete head-on** — $8B in revenue against HP's $53B and Apple's $406B, with a 7% market share against Apple's 10% and HP's 25%.
- **Short term** — The Neo is selling out globally. Acer's availability advantage buys time.
- **Long term** — Double down on education. Acer's Chromebooks are already the dominant device in classrooms worldwide, with 38 million units active worldwide, and at $200–$400, they are well below Apple's floor and outside HP and Lenovo's focus. Meaning only asus would be competition.

Threat of new entrants — Apple's brand and capital give it near-zero resistance entering the budget segment.

Supplier leverage — Acer pays margin to Intel and Qualcomm for components Apple designs in-house.

Buyer leverage — A price-sensitive market with endless options, now including an Apple product at $599.

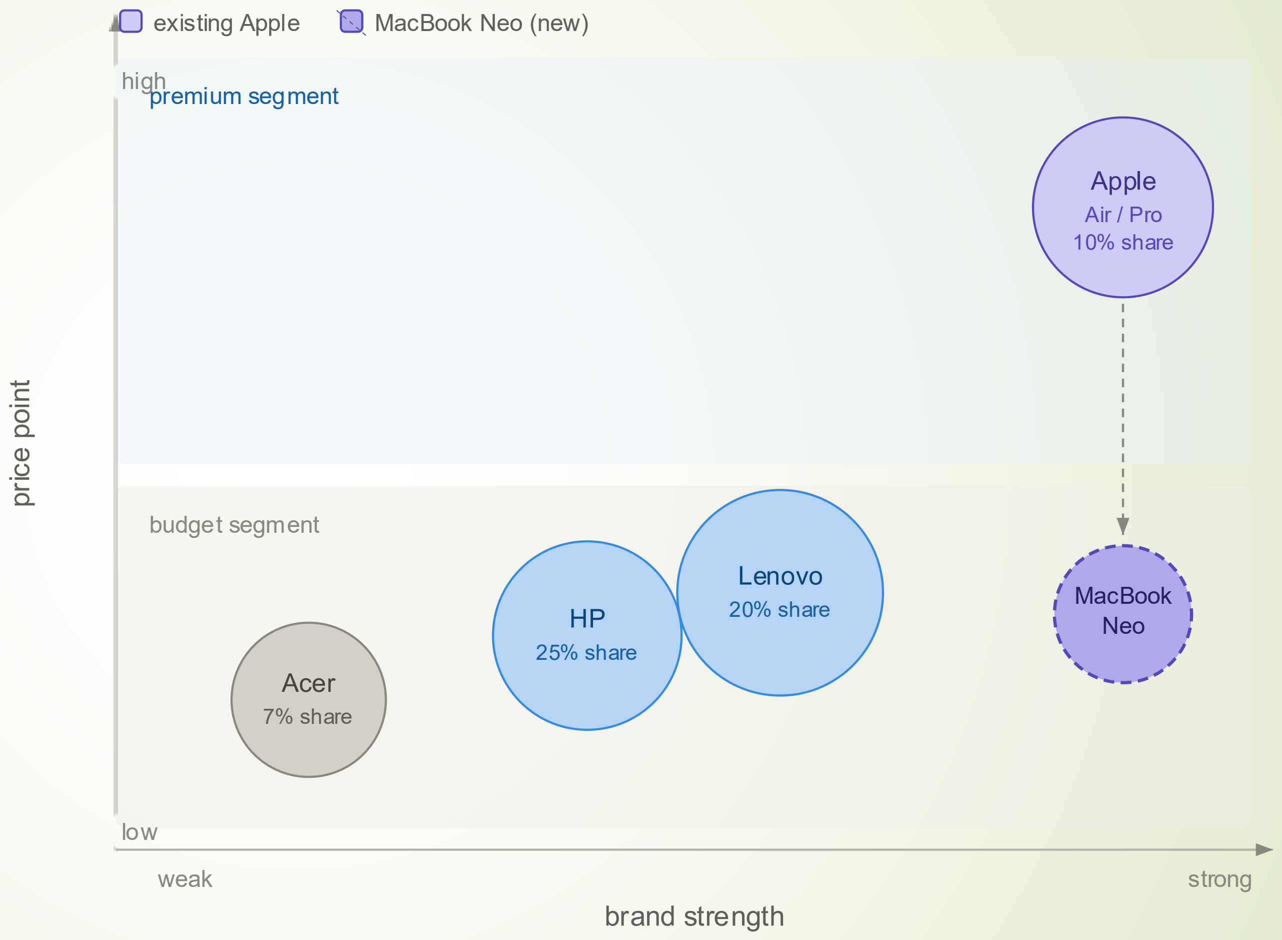
Threat of substitutes — The Neo outperforms every Acer laptop in its price range and pulls 1.5B iPhone users with it.

Competitive rivalry — Acer's 7% share is already dwarfed by HP (25%) and Lenovo (20%). Apple held 10% before the Neo existed.

The facts suggest that Acer is better off not competing with apple

Acer faces a strong brand in a similar price range

- **The MacBook Neo changes everything** — Apple now has a product that outperforms every competitor in its price range, backed by the strongest brand in consumer technology.



- **Market penetration** — Not viable. Acer cannot match the Neo on specs or brand, and lacks the capital to try.
- **Product development** — Not viable. Any R&D push would be outpaced by Apple and HP before it reaches market.
- **Market development** — Pursue. Acer's Chromebooks already own the education segment where Apple is priced out and procurement favours affordability.
- **Diversification** — Monitor. High risk without a clearly defined niche, but worth revisiting as the market shifts.

Acer should focus on a new market with its current products

Acer should use short term availability to buy time for R&D

Short term: Apple's neo stock is quickly selling out so acer should take advantage of their superior availability to buy time and gather funds for the long term

Long term: make use of Acer's strong foothold in education with the chromebooks and focus research and development on refining products in that more specific niche, competing only with Asus is more fortuitous than trying to compete with apple

Education is Acer’s strongest ground

Acer’s chromebooks are already used by educational institutions worldwide

Except for Asus, no other company has a stronger presence than Acer, with a brand as strong as theirs.

Acer’s prices are considered competitive ($200-$400) whereas their competitors would be considered premium ($599 macbook neo)

The oppurtunity is quantifiable

67.5m school-age Europeans → 33.75m on school-issued devices

Total addressable market: ~$2.3bn annually

Acer holds ~20% — primary rival is Asus (~10%), Apple is priced out at $599

The numbers make the case

	Bear	Base	Bull
Acer revenue opportunity	~$140m	~$460m	~$1.2bn
As % of Acer revenue	~2%	~6%	~15%

Conclusion

Acer cannot match the MacBook Neo — not on performance, build quality, brand, or resources.

But it doesn't need to. The education market is Acer's to lose — reliable, established, and priced where Apple and other competitors cannot follow.